

present market value of his security. (A drop in the price of the common could readily induce a decline in the bond from 130 to 110.) If he elects to hold the issue, he places himself to a considerable degree in the position of the stockholders, and this similarity increases rapidly as the price advances further. If, for example, he is still holding the bond at a level say of 180 (90 for the stock), he has for all practical purposes assumed the status and risks of a stockholder.

Unlimited Profit in Such Issues Identified with Stockholder's Position. The unlimited profit possibilities of a privileged issue are thus in an important sense illusory. They must be identified not with the ownership of a bond or preferred stock but with the assumption of a common stockholder's position—which any holder of a nonconvertible may effect by exchanging his bond for a stock. Practically speaking, the range of profit possibilities for a convertible issue, *although still maintaining the advantage of an investment holding*, must usually be limited to somewhere between 25 and 35% of its face value. For this reason original purchasers of privileged issues do not ordinarily hold them for more than a small fraction of the maximum market gains scored by the most successful among them, and consequently they do not actually realize these very large possible profits. Thus the profits taken may not offset the losses occasioned by unsound commitments in this field.

Examples of Attractive Issues. The two objections just discussed must considerably temper our enthusiasm for privileged senior issues as a class, but they by no means destroy their inherent advantages nor the possibilities of exploiting them with reasonable success. Although *most* new convertible offerings may have been inadequately secured,⁵ there are fairly frequent exceptions to the rule, and these exceptions should be of prime interest to the alert investor. We append three leading examples of such opportunities, taken from the utility, the railroad, and the industrial fields.

1. *Commonwealth Edison Company Convertible Debenture 3¹/₂s, Due 1958.* These bonds were offered to shareholders in June and September 1938 at par. The statistical exhibit of the company gave every assurance that the debentures were a sound commitment at that price. They were convertible into 40 shares of common stock until maturity or prior redemption.

⁵ This criticism does not apply to convertible bonds issued from 1933 to date, the majority of which meet our investment standards.